fortifications at Calcutta or to rule the city independently. Here the East India Company remained a mere zamindar of the nawab.

Even though the political ambitions of the Company were frustrated, its commercial affairs flourished as never before. Its imports from India into England increased from £500,000 in 1708 to £1,795,000 in 1740. British settlements in Madras, Bombay and Calcutta became the nuclei of flourishing cities. Large numbers of Indian merchants and bankers were attracted to these cities. This was due partly to the new commercial opportunities available in these cities and partly to the unsettled conditions and insecurity outside them, caused by the break-up of the Mughal empire. By the middle of the eighteenth century, the population of Madras had increased to 300,000 of Calcutta to 200,000 and of Bombay to 70,000.

The Charter of 1600 granted the East India Company the exclusive privilege of trading east of the Cape of Good Hope for a period of 15 years. The Company was a strictly closed corporation or a monopoly. In India, a factory of the Company was generally a fortified area within which the warehouse (stores), offices and houses of the Company's employees were situated. It is to be noted that no manufacture was carried on in this 'factory'.

The Company's servants were paid very low salaries. Their real income for which they were so keen to take service in India, came from the permission the Company granted them to carry on private trade within the country while trade between India and Europe was reserved for the Company.

The Anglo-French Struggle in South India

The English East India Company's schemes of territorial conquests and political domination, which had been frustrated by Aurangzeb at the end of the seventeenth century, were revived during 1740s because of the visible decline of Mughal power. Nadir Shah's invasion had revealed the decay of the central authority. But there was not much scope for foreign penetration in western India where the vigorous Marathas held